IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
COURT-V

Item No. 303
CP(CAA) No. 06/230/232/ND/2023

IN THE MATTER OF:
IPE Global Ltd. And IPE Global Venture Pvt. Ltd. **....Applicant**

SECTION
U/s 230-232 **Order delivered on 18.08.2023**

CORAM:
SHRI P.S.N PRASAD,
HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA,
HON'BLE MEMBER (TECHNICAL)

PRESENT:
For the Applicant :
For the Respondent :

ORDER

Order pronounced in open Court vide separate sheets. CP (CAA) No. 06/230/232/ND/2023 (2nd Motion) stands **allowed.**

Sd/- **Sd/-**
(DR. BINOD KUMAR SINHA) **(P.S.N PRASAD)**
MEMBER (T) **MEMBER (J)**

IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH – V

COMPANY PETITION (CAA) NO. – 06/(ND)/2023
WITH
COMPANY APPLICATION NO. CA(CAA) 82/(ND)/2022

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF THE COMPANIES ACT, 2013

AND

IN THE MATTER OF SCHEME OF ARRANGEMENT OF:

IPE GLOBAL LIMITED

...PETITIONER NO.1/DEMERGED COMPANY

AND

IPE GLOBAL VENTURES PRIVATE LIMITED

...PETITIONER NO.2/RESULTANT COMPANY

Order Delivered On: 18.08.2023

CORAM:

SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)
DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Petitioner : Mr. Rajeev Kumar, Adv.

For the Respondent :

For the IT Department : Mr. Gaurav Gupta, Sr. St. Counsel, Mr. Puneet Singhal, Jr. St. Counsel, Mr. Shivender Singh, Adv.

For the RD : Ms. Shankari Mishra, Ms. Niharika Tanwar

ORDER

PER: DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

1. The present Joint Petition is filed by the Petitioner Companies herein **IPE Global Limited** (Demerged Company/Petitioner Company No.1) and **IPE Global Ventures Private Limited** (Resultant Company/Petitioner Company No. 2) under Section 230-232 of the Companies Act, 2013 read with Rule 15 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the Sanction of the proposed Scheme of Arrangement between the Demerged Company and the Resultant Company. The copy of the Scheme of Arrangement (hereinafter referred to as the "Scheme"), has been placed on record.

2. The Demerged Company/Petitioner Company No. 1 i.e., M/s IPE Global Limited is a private limited company incorporated on 21.12.1998 under the provisions of the Companies Act, 1956 vide CIN: U74140DL1998PLC097579, having its registered office at B-84, Defence Colony, Bhishma Pitamah Marg, New Delhi-110024. Thus, the registered office of the Demerged Company is under the jurisdiction of this Tribunal. The authorized share capital of the Demerged Company is Rs. 15,00,00,000/- divided into 1,50,00,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Demerged Company is Rs. 7,71,56,550/- divided into 77,15,655 equity shares of Rs. 10/- each.

3. The Resultant Company/ Petitioner Company No. 2 i.e., M/s IPE Global Ventures Private Limited is a private limited company incorporated on 31.01.2022 under the provisions of the Companies Act, 2013 vide CIN: U67190DL2022PTC393047, having its registered office at B-84, Defence Colony, Bhishma Pitamah Marg, New Delhi-110024. Thus, the registered

office of the Resultant Company is under the jurisdiction of this Tribunal. The authorised share capital of the Resultant Company/ Petitioner Company No. 2 is Rs. 1,00,000/- divided into 10,000/- equity shares of Rs. 10/- each. The present issued, subscribed and paid-up capital of the Resultant Company is Rs. 1,00,000 divided into 10,000 equity shares of Rs. 10/- each.

4. The Petitioner Companies submit that the proposed scheme of arrangement of the Demerged Company and Resultant Company would have the following benefits: -

   (i) Focused business approach to the respective line/segment of business.
   (ii) Benefit of financial resources managerial, technical and marketing expertise.
   (iii) Benefits from streamlining and rationalising the group structure.

5. The appointed date as fixed for the proposed scheme of Arrangement and approved by this Tribunal is 01.04.2023.

6. From the records, it is seen that the First Motion joint application was filed before this Tribunal vide CA(CAA) 82/ND/2022. Vide order dated 16.11.2022, the meetings of the Equity Shareholders and Secured Creditors of both the Demerged Company and the Resultant Company and the meeting of the Unsecured Creditors of the Resulting Company were dispensed with. Further, in compliance of the order dated 16.11.2022, the meeting of the Unsecured Creditors of the Demerged Company was duly convened and held on 05.01.2023 through video conferencing. The chairperson has submitted its report dated 09.01.2023, whereby, the scheme of arrangement between the Demerged Company and the Resulting Company was unanimously approved by the Unsecured Creditors of the Demerged Company.

7. The Tribunal, vide order dated 16.11.2022, directed the Petitioner Company to issue individual notices to the (i) Regional Director, Northern Region of Ministry of Corporate Affairs, (ii) Income Tax Department, (iii) Registrar of Companies, NCT of Delhi and Haryana, and (iv) Official Liquidator.

8. The Petitioner Companies were also directed to carry out publication in the newspapers. It is seen from the records that the Petitioners have filed an Affidavit dated 01.04.2023, affirming compliance of the order dated 16.11.2022 passed by this Tribunal, and disclosing that the Petitioners have effected publication in "Business Standard" (English, Delhi Edition) as well as "Business Standard" (Hindi, Delhi Edition), both dated on 27.03.2023. In addition to the public notice, notices were served on the Regional Director (Northern Region), Official Liquidator, the Income Tax Department, Registrar of Companies, NCT of Delhi and Haryana and the Reserve Bank of India.

9. Pursuant to the notice issued to the Regional Director and Registrar of Companies, they have filed their response/reply in the matter.

10. This Hon'ble Tribunal vide order dated 16.11.2022, had sought report from the Regional Director regarding observations/NOC upon the matter. The Regional Director (RD) in its report dated 10.04.2023 has made certain observations with regard to the proposed scheme of Arrangement in the nature of de-merger among the Petitioner Companies. The RD's observation is stated hereunder as:

> *"That consequent upon allotment of equity share into resultant company the process of de-merger stands complete and any subsequent reduction of capital, would attract provisions of Section 66 of the Act for which separate process has to be carried out since proposed scheme is not restructuring of existing capital.*

However, the Hon'ble Tribunal may satisfy itself w.r.t scheme and pass such order or orders as deemed fit and proper."

Therefore, the RD sought clarification from the Petitioner Companies on the above observation.

11. In response to the observation made by the Regional Director, the Petitioner Companies had filed the reply dated 11.04.2023. The response of the petitioner companies, to the aforesaid observation is reproduced hereunder as:

A. *It is humbly submitted that Reduction of Equity Share Capital of the Resulting Company is an integral part of the proposed Scheme. Reference is invited to Clause 6 of the Scheme, Clauses 6.1 to 6.6, which pertain to the same. The said Clauses have been duly considered and reproduced by the office of your kindself in the RD Report.*

B. *Further, Clause 6.5 of the Scheme provides that reduction of capital is an integral part of the Scheme under Section 230 to 232 of the Companies Act, 2013 ("the Act") and will be made effective pursuant to order of this Hon'ble NCLT sanctioning the Scheme in terms of Sections 230 to 232 of the Act, the provisions of Section 66 of the Act shall not be applicable unless the NCLT holds otherwise.*

C. *Furthermore, as per Clause 6.1 of the Scheme, the cancellation of existing share capital i.e., the pre-demerger shareholding in the Resulting Company shall take place simultaneously along with the allotment of shares under Clause 5 of the Scheme. The cancellation of initial share capital of the Resulting Company and allotment of shares as per Clause 5, shall result in mirror image of the shareholding pattern of the Resulting Company as it stands for the Demerged Company as of the Record Date.*

D. *Also, Clause 6.5 of the Scheme provides that, it shall be deemed that the members of the Resulting Company who have approved the Scheme have also resolved and accorded all relevant consents under Section 66 of the Act or any other provisions of the Act to the extent the same may be considered applicable and that there will be no need to pass a separate shareholders' resolution as required under Section 66 of the Act. The order of the NCLT sanctioning the Scheme shall also be deemed to be an order under Section 66 of the Act confirming the reduction.*

E. *Pursuant to Clause 6.2 of the Scheme, if this Hon'ble NCLT holds that Section 66 of the Act is deemed to apply to this Scheme, then the necessary minute of the resolution relating to the reduction of the equity share capital of the Resulting Company pursuant to this Scheme, shall be registered, with the Registrar of Companies, Delhi & Haryana, in terms of Section 66 of the Act.*

F. *It is hence respectfully submitted that since the reduction in equity share capital of the Resulting Company is being undertaken as an integral part of the Scheme, no separate process is required to be carried out for the purpose thereof. In addition to the same, the requirements of section 66 of the Act have been duly complied by the Resulting Company as the Scheme, which includes reduction in share capital of the Resulting Company, has been unanimously approved by 100% shareholders of the Resulting Company, who have provided their written consent by way of affidavit, which are already placed on record with the Hon'ble NCLT. Also, there are no creditors viz. secured and unsecured in the Resulting Company and hence the requirement to send a notice and seek representations does not arise. Furthermore, the Resulting Company has, for the purpose of the Scheme, duly served the notice to the Regulatory Authorities. In summary, the requisite compliances as provided under section 66 of the Act have already been complied with by the Resulting Company.*

12. The Income Tax Department have filed its affidavit dated 11.04.2023, wherein, no specific objection was raised against the proposed scheme of arrangement between the petitioner companies. Furthermore, the petitioner companies have also filed the affidavit-cum-undertaking dated 11.04.2023, whereby, the Petitioner Companies undertakes to pay tax demand, if any, that may arise on account of pending demands, on the Petitioner Companies as per the order/demand of the Income Tax Authority.

13. The Official Liquidator (OL) has also filed its report dated 24.04.2023, wherein, the OL was of the view that since the Demerged Company is not going to be dissolved, therefore, no report/representation under Section 232(5) of the Companies Act, 2013 and Rules made thereunder is desired on the part of the OL.

14. In this petition it has also been affirmed that there is no pending complaint against the scheme and no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

15. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Demerger is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

16. The shareholders of the Petitioner companies are the best judges of their interest, being fully conversant with market trends, and therefore, their

decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, do not ordinarily interfere with the corporate decisions of companies as approved by shareholders and creditors.

17. It has also been affirmed in the petition that the Scheme is in the interest of Demerged Company and the Resulting Company including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

18. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

(i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

(ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

19. This Tribunal further directs with respect to the Demerged company and the Resultant company, that:

(i) That all the property, rights and powers of the Demerged Company relating to the Demerged Undertaking, be transferred without further act or deed, to the Resulting Company and accordingly the same shall, pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Resulting Company.

(ii) That all the liabilities and duties of the Demerged Company relating to the Demerged Undertaking, be transferred without further act or deed, to the Resulting Company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the Resulting Company; and

(iii) That all proceedings now pending by or against the Demerged Company relating to the Demerged Undertaking, be continued by or against the Resulting Company; and

(iv) That all the employees of the Demerged Company relating to the Demerged Undertaking in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date, shall become the employees of the Resulting Company on such date, without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Demerged Company on the said date.

(v) That Petitioner companies shall, within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged Undertaking of the Demerged Company shall be deemed to be transferred: and

(vi) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

The petition stands disposed of on the above terms.

Let copy of the order be served to the parties.

Sd/-	**Sd/-**
(DR. BINOD KUMAR SINHA)	**(P.S.N. PRASAD)**
MEMBER (TECHNICAL)	**MEMBER (JUDICIAL)**